

Power Purchase Agreement

For the supply of solar power energy between [SELLER] and [BUYER].

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This Power Purchase Agreement (the “**Agreement**”) is entered into between

- (A) [Seller], a company organized under the laws of Norway, with business registration number [Seller Organization Number] and business address at [Seller Address] (the “**Seller**”); and
- (B) [Buyer], a company organized under the laws of Norway with business registration number [Buyer Organization Number] and business address at [Buyer Address] (the “**Buyer**”).

The Buyer and the Seller are individually referred to as a/the “**Party**” and collectively as the “**Parties**”.

WHEREAS,

- (A) The Seller provides technology to the floating solar industry;
- (B) The Buyer [fill in text regarding facility/premises, need for power o.e.]
- (C) the Buyer wishes to engage the Seller to provide solar power energy to the Buyer’s [Buyer Facility Type] in [Buyer Facility Location]; and
- (D) the Seller wishes to develop and operate the Facility (as defined below), and deliver solar power energy to the Buyer as specified in Appendix 1 and according to the provisions of this Agreement; and

Definitions and Interpretations

For the purposes of this Agreement, the following capitalized terms shall have the following meanings when used herein, all of which terms shall be equally applicable to the singular and plural form of such terms:

Definitions

Term	Definition
“ Delivery Point ”	means the interconnection point at which Net Electrical Output is made available to the Buyer.
“ Facility ”	means the solar photovoltaic facility to be designed, built and installed by the Seller at [Buyer Facility Location], Norway, as further specified in Appendix 1.
“ Facility Meter ”	means the metering device measuring the amount of Net Electrical Output delivered.
“ kWh ”	means kiloWatt-hour.
“ Net Electrical Output ”	means the net electrical energy expressed in kWh delivered at the Facility Meter.
“ Prudent Utility Practice ”	means those standard practices, methods and procedures conforming to safety and legal requirements which are attained by exercising that degree of skill, diligence, prudence and foresight which would reasonably and ordinarily be expected from a skilled and experienced international operator of a solar power energy facility engaged in the same type of undertaking under the same or similar circumstances to those pertaining under this Agreement.

Effective Date – Term of the Agreement

Effective Date

This Agreement, when signed off by the Parties, will constitute a binding agreement upon the Parties.

Upon fulfillment of the conditions precedent in Clause 3, the Seller shall install the Facility, estimated to be finalized [120] days from fulfillment of said conditions precedent.

The Parties assume that the Facility will be put into operation as soon as it has been installed and connected to the Buyer’s [Buyer Facility Type], save for an initial testing period estimated to [Test Period] days, and the Seller’s obligation to deliver solar power energy to the Buyer shall commence at the end of the testing period (the “**Effective Date**”).

Term

This Agreement shall remain in effect for and expire automatically two (2) years following the Effective Date, unless earlier terminated in accordance with terms and conditions of this Agreement.

Conditions Precedent

The Buyer shall have granted the Seller all necessary rights in order to install the Facility, including access to land and premises, right to place the Facility at sea and to dig cable trenches etc. As further illustrated in Appendix 1. For the avoidance of doubt, such rights shall, if necessary, include property

and rights held by third parties. No compensation shall be paid by the Seller for rights as set out in this Clause 3.1.

The Seller/Buyer shall have obtained necessary licenses, permits, authorizations for the construction and operation of the Facility, including production and sale of electricity as further laid out in this Agreement. In the event the Seller, making all reasonable endeavors, is unable to obtain such necessary licenses, permits, authorizations within [Authorization Date], the Agreement shall be terminated.

The Buyer shall have entered into a grid connection agreement, or, alternatively, provide the Seller with a written statement in which the Buyer confirms that such agreement will not be required.

Delivery and Maintenance

1. The Seller shall make solar power energy available under this Agreement at the Delivery Point, and the ownership and risk of loss of solar power energy delivered in accordance with this Agreement shall pass from the Seller to the Buyer at the Delivery Point.
2. The Seller[/Buyer] shall install the Facility Meter at the Delivery Point to measure the amount of Net Electrical Output delivered by the Seller to the Buyer. The Seller[/Buyer] shall own, operate and maintain the Facility Meter during the entire term of this Agreement as defined in Clause 2 (*Term*) at its own expense. The Facility Meter shall be a standard revenue quality meter and electronic data acquisition equipment that can be used continuously to measure and record the Net Electrical Output.
3. The Seller shall read the Facility Meter daily and shall record the Net Electrical Output delivered to the Buyer. Upon written request, the Seller will make available to the Buyer the records from the Facility Meter.
4. The Seller[/Buyer] shall provide standard quality calibration testing of the Facility Meter prior to putting it into operation and at least annually thereafter to ensure the accuracy of the Facility Meter. The Facility Meter shall be sealed and locked after each calibration testing. The [Seller/]Buyer shall be entitled to witness such tests.

In the event of damaged or faulty meters, the Seller shall make output estimates in accordance with good faith based on historical data (if available) or predicted values.

No minimum production of Net Electrical Output shall be guaranteed delivered at the Delivery Point.

The Seller/Buyer shall ensure operation, reparation and maintenance of the Facility consistent at all times with Prudent Utility Practice to ensure compliance with the requirements of this Agreement.

Scheduled and unscheduled outages

If possible, scheduled outages shall take place outside of generation hours and peak generation months. The Buyer shall not be entitled to any compensation upon outages.

Curtailement, grid downtime and network maintenance

In the event of curtailement, grid downtime and network maintenance, the Buyer shall pay for the energy which could have been produced and delivered at the Delivery Point. The Seller shall specify such amount of energy upon invoicing.

Operation and maintenance

The Seller/Buyer has the responsibility to maintain the installation according to the operation and maintenance manual. This includes but is not limited to: cleaning the solar panels regularly to ensure optimal performance, inspecting and making sure the mooring and anchoring is intact, and making sure there are no electrical leaks or hazards.

In the event of power outages or power production being limited due to poor or missing operation and maintenance, the Buyer shall pay for the energy which could have been produced and delivered at the Delivery Point. The Seller shall specify such amount of energy upon invoicing.

Sale and Purchase of Energy

1. Subject to, and in accordance with the terms of this Agreement, the Seller shall sell to the Buyer at Delivery Point and the Buyer shall be obliged to purchase from the Seller at Delivery Point, all solar power energy produced at the Facility. The estimated annual production (not guaranteed) is [Annual Production Estimate] kWh, split at follows:

Maaned	Estimert produksjon (kWh)
January	[Monthly Production]
February	[Monthly Production]
March	[Monthly Production]
April	[Monthly Production]
May	[Monthly Production]
June	[Monthly Production]
July	[Monthly Production]
August	[Monthly Production]
September	[Monthly Production]
October	[Monthly Production]
November	[Monthly Production]
December	[Monthly Production]

2. The Buyer shall take and purchase, and in any event pay for, the total amount of Net Electrical Output delivered at Delivery Point measured by a Facility Meter (take-or-pay), cf. also Clause 4.9.
3. The Buyer shall pay the Contractor NOK [Price Per kWh] per supplied kWh during the term of the Agreement, indexed at the consumer price index as published by Statistics Norway yearly (first time with effect from 1 January 2024).
4. The total fixed fee as referred to in Clause 5.3 above, per supplied kWh is exclusive of all costs, expenses, charges or fees that the Seller may incur in connection with the performance of its obligations under the Agreement, including all taxes, duties, levies, fees and other charges of any nature imposed by any authority or entity.

Billing and Payment

The Seller shall submit to the Buyer latest by the fifteenth (15) day of the following month an original copy of its invoice for the sale of electricity supplied to the Buyer in accordance with this Agreement. Each invoice submitted shall relate to only one-month service provided and shall include:

- (a) The amount of Net Electrical Output during the billed month; and
- (b) The payment kWh unit rate for the current agreement year pursuant to Clause 5.3.

Each invoice shall be due and payable to the Seller ten (10) days from receipt of the Seller's invoice.

Should the Buyer dispute an invoice, it shall notify the Seller within five (5) business days of receipt of such invoice. The Buyer shall not be entitled to defer payment thereof beyond the date specified for payment but shall pay such an invoice except in instances of manifest error. In the event the Parties resolve a dispute regarding an invoice within fifteen (15) days, each Party shall be entitled to refer the dispute for dispute resolution in accordance with this Agreement for a determination. In the event it is found that an error was made on the invoice, such invoice shall be canceled and thereafter a new invoice shall be issued within ten (10) days from the resolution of such dispute.

Any amounts not paid when due (unless disputed in good faith) shall bear interest according to the Norwegian act relating to interest on overdue payments.

Event of Force Majeure

Definition of an Event of Force Majeure

In this Agreement, an “**Event of Force Majeure**” means an event beyond the control of either Party, which prevents the Party from complying with any of its obligations under this Agreement, including but not limited to (i) act of God (such as, but not limited to, fires, explosions, earthquakes, drought, tidal waves and floods), (ii) war, hostilities (whether be declared or not), invasion, act of foreign enemies, mobilisation, requisition, or embargo, (iii) rebellion, revolution, insurrection, military or usurped power, or civil war, (iv) contamination by radioactivity from any nuclear fuel, or from any nuclear waste from the combustion of nuclear fuel, radio-active toxic explosive, or other hazardous properties of any explosive nuclear assembly or nuclear component of such assembly, (v) riot, commotion, strikes, go slows, lock outs or disorder, unless solely restricted to employees of the Contractor or of his subcontractors (vi) acts or threats of terrorism (vii) vandalism (authorities' withdrawal of permission to operate) and ice drift.

Consequences of an Event of Force Majeure

Neither the Seller nor the Buyer shall be considered in breach of this Agreement to the extent that performance of their respective obligations (excluding payment obligations) is prevented by an Event of Force Majeure.

The Party prevented from carrying out its obligations hereunder (the “**Affected Party**”) shall give notice to the other Party of an Event of Force Majeure upon it being foreseen by, or becoming known to, the Affected Party. The Affected Party shall in good faith attempt to rectify the situation.

Termination

The Agreement may be terminated in the following events:

Upon a mutual agreement between the Parties;

According to clause 3;

If an Event of Force Majeure lasts more than [6] months;

In the event the Facility is out of operation for a period of more than [6] months; and

Upon material breach of the Agreement,

End-of-Life Options

Upon expiry of the Agreement according to Clause 2.4, the Seller and the Buyer are free to negotiate:

- (a) an extension of the Agreement on similar terms, save the electricity price, term of the Agreement and other parameters likely to change; or
- (b) a purchase of the installation with a discount on nominal price per kWp according to the measured degradation of the floating solar system, optionally combined with an agreement regarding support and maintenance services provided by the Seller.

Decommissioning

Upon expiry or termination of the Agreement, the Seller shall ensure decommissioning of the Facility, which includes all necessary activities to leave the site in a similar state as it was prior to the establishment of the Facility.

The decommissioning activities involves cleaning up the site after removing the Facility, including installations such as solar panels, anchoring and mooring, cables, equipment at Buyer's electrical point of contact, inverter(s), any cabinets or sheds/shelters, signs etc.

Obligation Upon Termination

Upon expiration or termination of this Agreement, the Parties shall have no further obligations or liabilities hereunder except for those obligations and liabilities that arise prior to such termination.

Liability and Indemnification

This Agreement shall not give grounds for claims for damages or indemnity claims, unless a Party is in material breach of its obligations under this Agreement. In such cases, the defaulting Party must compensate the other Party's economic loss in accordance with Norwegian law of torts. However, the Seller's liability shall in any event be limited to the Seller's right to payment in the year the breach occurs.

Miscellaneous

Governing Law

This Agreement and the rights and obligations hereunder shall in all respects be interpreted, construed and governed by Norwegian law.

Dispute Resolutions

The Seller and Buyer shall use their best efforts to settle amicably all disputes arising out of or in connection with this Agreement or its interpretation.

If the Parties are unable to reach a settlement as per Clause 10.2.1 above within sixty (60) days of the first written notice on the matter of disagreement, then either Party may give notice to the other Party of its intention to commence arbitration in accordance with Clause 10.2.3.

The arbitration shall be finally settled under the Rules of Arbitration (the “Rules”) of the International Chamber of Commerce in Oslo, Norway, and shall be conducted in the Norwegian language. The decision or award of the arbitration shall be in writing and is final and binding on both parties. The arbitration panel shall award the prevailing party its attorneys’ fees and costs, arbitration administrative fees, panel member fees and costs, and any other costs associated with the arbitration, the enforcement of any arbitration award and the costs and attorney’s fees involved in obtaining specific performance of an award; provided, however, that if the claims or defenses are granted in part and rejected in part, the arbitration panel shall proportionately allocate between the parties those arbitration expenses in accordance with the outcomes; provided, further, that the attorney’s fees and costs of enforcing a specific performance arbitration award shall always be paid by the non-enforcing party, unless the applicable action was determined to be without merit by final, non-appealable decision.

The arbitration panel may only award damages as provided for under the terms of this Agreement and in no event may punitive, consequential and special damages (or as otherwise specified in this Agreement) be awarded. In the event of any conflict between the Rules and any provision of this Agreement, the provisions of the Agreement shall prevail.

Language

The language of this Agreement shall be English. All documents, notices and all other communication written or otherwise between the Parties in connection with this Agreement shall be in English.

Confidentiality

The contents of this Agreement including appendices and confidential information about another Party’s business and operations must not be made known to third parties or other unauthorized persons without the other Party’s prior written confirmation. This obligation continues to apply for 3 years after the Agreement has been terminated.

The confidentiality obligation does not include publicly available information, information which must be presented to courts or public authorities or others pursuant to legislative acts, regulations or decisions made on grounds of legislative authority. Furthermore, the Parties shall be entitled to inform advisors about the content of this Agreement. Neither Party shall issue or cause the publication of any press release or other public announcement in relation to the Facility or this Agreement without the prior approval of the other Party.

Assignment

The Parties may not assign their rights and/or obligations according to the Agreement, other than by prior written agreement between the Parties.

Notices

Except as otherwise specified in this Agreement, all notices and other communications between the Parties required or contemplated under this Agreement shall be in writing and shall be delivered either by; (i) personal delivery, (ii) recognized overnight delivery service, (iii) postage prepaid, return receipt requested, certified mail, or (iv) confirmed facsimile, transmitted to the Party for whom such notice or communication is intended, at the address or facsimile number shown below, or such other address or number as the intended recipient previously shall have designated by written notice given pursuant to this Agreement:

If to the Seller:

[insert contact person and contact details]

If to the Buyer:

[insert contact person and contact details]

IN WITNESS WHEREOF, the Parties have, through their authorized representatives, executed this Agreement on the date herein below written.

[SIGNATURES]